3.5.2 Break-even charts and margin of safety

Unit 3.5 Financial management · 8 key points

- **Break-even chart:** shows total revenue, total costs and fixed costs against output
- **Break-even point:** where total revenue equals total costs
- **Margin of safety:** actual output − break-even output (in units)
- **Trap:** margin of safety is measured in units, not pounds
- **Higher price:** contribution rises, break-even output falls
- **Higher fixed costs:** break-even output rises
- **Higher variable costs:** contribution falls, break-even output rises
- **Limitations:** assumes all output is sold and costs and prices stay the same